



lieve that things will turn around is starting to erode.

Kumar: They are trying but as I said, creating investment demand is difficult because the delivery is very weak; you can't get public infrastructure so what you need to focus on is the ability of the government system to deliver investment demand because private investment demand is drying up. In the given scenario and given the negative expectation, private investment demand is unlikely to come up until the Government demand and planning for public sector investment goes up.

Bery: On the Government response, I would say it has been unimaginative. There are some things I think could have been done which would have been both structural and would have acted as a stimulus. The high level of investment by banks into SLR securities is because of credit risks. Interest rates are high because of small savings rates and there are no attempts to fix this. One element we have not talked about is how well equipped we are to deal with bankruptcies in such an environment. We have had a lot of advice from committees like the Rajan Committee but nothing has happened. This is critical in times of bailouts and NPAs, and for stories such as Satyam. My final point would be, let us remember that the agricultural sector too needs attention.

Roy: Stimulus is definitely welcome; in fact, it will take some time before you start seeing the results, maybe two or three quarters. One may criticise the lack of structural reforms but stimulus is an immediate measure, so in that sense it is good. As for being imaginative, a lot more could be done. The steps taken for the auto sector are certainly welcome. Liquidity infusion will have a positive impact over a period of time. Increase in depreciation rates will help commercial vehicles. Basically, if you make money available at a time when most of the investments are coming from the private sector that will help the sector in continuing with investment plans.

Ranade: We are possibly over-estimating the capacity of the Government to do something in this situation. I want to bring just two examples. One, the monetary policy guys can do all they want to inject liquidity and, I think, they have pumped in Rs 3,00,000 crore of liquidity, have reduced the interest rate and are promising to reduce the interest rates further but you can take the horse to the water, but can't force it to drink. Yes, 75 per cent of banking is government-owned and it can force banks to lend but I don't think it will work, as banks are answerable for their NPAs. Secondly, the promise of further rate cuts is encouraging banks to invest, in fact, not in new loans but in government bonds. They will become wealthier and, in fact, they will make a profit, they will make capital gains on it. This is the limitation of policy. On spending, I want to point out to the National Highway Development Programme, which would have helped create demand for cement and steel and create jobs, has been stalled and five chairmen have been replaced. Finally, promoting investment demand needs investment optimism and business confidence and that is what the Government should focus on. The Cabinet has cleared a bunch of reforms which should be legislated immediately. On the whole, the stimulus is in the right direction; it's okay but not good. The bang comes from

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“ As the Government runs out of capacity and the system doesn't respond, the confidence that you need for people to believe that things will turn around is starting to erode. ”

SUBIR GOKARN, Chief Economist, S&P's Asia Pacific

implementation where we have limitations. It is not good enough because it is not working.

Chawla: If the packages are meant to improve these three demands, are we getting the results? If not, when will we get it?

Ranade: These packages are textbook solutions and are not working because bank lending is not increasing. And you can't force the banks to lend which is against the basic principle.

Goyal: The classic answer is that the Government has to go and spend. So here I think this stimulus, what was done after October, is good but over the past year there have been stresses in the international system and the Government should have done more in that period but they did not do it. There is a huge demand for low-income housing, and if policy is focused to make loans available for low-income housing, you can tap into demand and spur growth.

Dev: Given the constraints of the Government, the stimulus seems to be okay. As far as monetary policy is concerned, of course, they are expecting more cuts in the rates in the next few months and on the fiscal side, they said they will have more stimulus in the next fiscal, which is needed. Sure, some people believe that the stimulus is more on the supply side and demand is not there. But how do you increase consumer